

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,
Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.
Respondents.

**RESPONDENTS' RESPONSE TO SAMSUNG'S APPEAL OF THE ORDER DENYING
ITS PETITION FOR AN AWARD OF ATTORNEYS' FEES**

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Respondents Orient Overseas Container Line, Limited and OOCL (Europe) Ltd. (collectively "Respondents" or "OOCL") hereby respond to the Appeal ("Appeal") of Third-Party Respondent Samsung Electronics Company, Ltd. ("Samsung") of the Order ("Order") Denying its Petition ("Petition") for an Award of Attorneys' Fees. For the reasons set forth below, the Appeal should be denied in its entirety.

I. SUMMARY OF ARGUMENT AND INTRODUCTON

Samsung is not entitled to attorneys' fees in connection with the dismissal of the Third-Party Complaint as amended because it fails to meet the criteria used to evaluate entitlement to such fees which, in this case, weigh heavily against such an award. As explained below, Samsung's arguments to the contrary conflate and misapply the relevant criteria.

Before addressing the specific deficiencies in the Appeal, a brief review of the Commission’s treatment of petitions for attorneys’ fees is instructive. Commission awards of attorneys’ fees have been few and far between, reflecting the Commission’s reluctance to award them except in extreme circumstances. To Respondents’ knowledge, the Commission or an ALJ has awarded attorney’s fees in only two cases since authority to award fees to “prevailing parties” was added to the Shipping Act in 2014 and the Commission’s 2016 rulemaking implementing the amendment. The first case, *Edaf Antillas v. Crowley Caribbean Logistics*, Docket No. 14-04, 2016 WL 5110081 (FMC Sept. 14, 2016)(“*Edaf*”), awarded fees to the two respondents in a situation where the complainant simply disappeared – it stopped filing required documents with the Commission and declined even to respond to communications from both the Commission and the respondents.

In the only other case, *Bakerly v. Seafrigo*, Dkt. 22-17, Doc. No. 66 at 8 (FMC, Jan. 22, 2026)(hereinafter, “*Bakerly*”), the respondent was awarded partial fees after full litigation of the complaint, an initial decision by the ALJ, and the consideration of exceptions to the ALJ’s initial decision in a final Commission decision on the merits. The Commission awarded fees only with respect to the claims it found complainant had alleged “no colorable factual or legal basis for claiming that [the respondent] contractually agreed to pay all non-freight charges...or for asserting claims under the Ocean Shipping Reform Act of 2022...which was not in effect when the charged were incurred and billed...” *Bakerly* at 3. The Commission found these claims to be “patently baseless.” *Id.* at 36. The Commission denied attorneys’ fees relating to Bakerly’s claims of unreasonable billing practices, as complainant had presented “some legal and factual support for those claims.” *Id.* The Commission explained that it did not find evidence of litigation misconduct, nor were deterrence or fully compensating the respondent factors. Rather, awarding respondent

attorneys' fees "furthered the purpose of ensuring an efficient and economical transportation system for U.S. ocean-borne commerce [and] is also consistent with the Commission's interest in enforcing its rules allowing NVOCCs to rely on NRA terms accepted by the shipper to keep cargo flowing efficiently." *Bakerly* at 4. Other than these cases and apparently one involving a settlement officer, the Commission and its ALJs have regularly rejected petitions for attorneys' fees. A smattering of such cases includes *Baltic Auto Shipping v. Hitrinov*, 2017 WL 4924883 (FMC October 25, 2017); *Logfret v. Kirsha*, 2 F.M.C. 2d 110 (FMC June 22, 2020); *CMI Distribution, Inc. v. Service by Air, Inc.*, 2021 WL 5564522 (FMC November 24, 2021); *MSRF v. HMM*, 2024 WL 1741928 (ALJ April 15, 2024)(admin. final); *SeaFair USA LLC v. Sterling Container Line Ltd.*, FMC Docket No. 22-34 (ALJ August 28, 2024)(admin.final).

As discussed below, the main reason for the reluctance of the Commission to award fees has been the Commission's concern over chilling the willingness of injured entities, whoever they may be, to file complaints with the Commission alleging violations of the Shipping Act. In *Bakerly*, the Commission balanced such chilling effect against a pursuit of "patently baseless claims" for "improper purposes," together with the purposes of the Shipping Act to promote a system that "works efficiently and fairly for NVOCCs," to weigh heavily in favor of an award of attorneys' fees. *Bakerly*. at 36.

II. APPLICABLE LEGAL STANDARDS

Pursuant to 46 C.F.R. § 502.254, the appeal of an initial decision on a petition for an award of attorneys' fees is governed by the procedures in 46 C.F.R § 502.227. 46 C.F.R § 502.227(a)(6) states that the Commission has the same powers in reviewing the decision as it would have in making the initial decision. Therefore, the standard of review by which the Commission now reviews the Order is de novo.

With respect to an award of attorneys' fees, Section 402 of Title IV of the Howard Coble Coast Guard and Maritime Transportation Act of 2014, Public Law 113-281 (enacted on December 18, 2014) amended the statutory provision governing the award of attorneys' fees under the Shipping Act, to authorize the FMC to award attorney's fees to the "prevailing party," whether complainant or respondent, in appropriate cases. "In determining whether a party has 'prevailed' in a proceeding, the Commission will look to federal case law, to the extent practicable." 81 *Fed. Reg.* 10508, 10509 ((March 1, 2016)(final rule). The Commission further directed that "parties should be encouraged to litigate meritorious claims and defences." *Id.*

The prevailing party in a complaint brought under 46 U.S.C § 41301 may receive an award of reasonable attorneys' fees. 46 U.S.C. § 41305(e). Petitions for fee awards are evaluated under a two-part analysis: (1) whether the petitioner is a "prevailing party" and thus eligible for a fee award and, if so, (2) whether the petitioner is entitled to attorneys' fees in light of the purposes of the Shipping Act and the other factors the Commission uses to evaluate such petitions. *Statement of the Commission On Attorney Fees*, Dkt. 21-14, 2021 WL 9204127 (FMC, Dec. 28, 2021)(*"Commission Statement"*); *Bakerly* at 8. The petitioner must prove both eligibility and entitlement and must also support the reasonableness of the requested fees. 46 C.F.R. § 502.254(d). "[T]he applicant for an award of attorney fees bears the burden of establishing entitlement to an award, documenting the appropriate hours, and justifying the reasonableness of the rates." *Edaf Antillas, Inc. v. Crowley Caribbean Logistics*, 33 S.R.R. 1311, 1315 (ALJ 2015) (citing *Blum v. Stenson*, 465 U.S. 886, 895 n.11 (1984)); *Baltic Auto Shipping, Inc. v. Hitrinov*, 2017 WL 4924883 at *9.

III. ARGUMENT

Under the criteria set forth above, Samsung is not entitled to an award of attorneys' fees and the Appeal should be denied.

A. The Third-Party Complaint Was Not Frivolous And Did Not Lack An Objective Basis

The test for frivolousness sets a high bar. In *Professional Real Estate Investors v. Columbia Pictures Industries, Inc.*, 508 U.S. 49 (1993), for example, the Supreme Court held that "litigation cannot be deprived of immunity as a sham unless the litigation is 'objectively baseless'" and that "an objectively reasonable effort to litigate cannot be a sham regardless of subjective intent." 508 U.S. at 57. The Court further declared that a lawsuit *may not* be deemed "objectively baseless" if the litigant "could have believed that it had *some chance* of winning." *Id.* at 65. (emphasis added). See *Logfret, Inc. v. Kirsha, B.V., et al.*, 2 F.M.C. 2d 110, 114 (FMC 2020). As the Commission has explained:

Since the 2014 changes to the attorney fee statute, only once has the Commission required an unsuccessful shipper-complainant to pay an eligible respondent's attorney fees. There, the Commission awarded fees because the complainant "failed to substantiate the legal and factual components of its case, knowingly disregarded the ALJ's orders on numerous occasions, abandoned its claim, forced multiple [r]espondents to expend significant resources of both time and money in their defense and, perhaps most egregiously, failed to terminate the claim when it could have limited the expense of the Respondents," despite "[a]mple opportunity to withdraw its claim." In contrast, *complainants who raise non-frivolous claims in good faith, who litigate zealously but within the rules and for proper purposes, and who comply with Commission orders are at little risk of attorney fee liability if they are unsuccessful, absent unusual circumstances.*

Commission Statement at 5-6 (emphasis added, footnotes omitted).

Furthermore, the fact that the Third-Party Complaint did not succeed does not in and of itself mean that it was frivolous or lacked a reasonable basis for its claims. As the Supreme Court

stated in *Professional Real Estate Investors*, an agency or court reviewing litigation where the party that filed the judicial complaint lost in court:

“[M]ust ‘resist the understandable temptation to engage in *post hoc* reasoning by concluding’ that an ultimately unsuccessful ‘action must have been unreasonable or without foundation.’ The [court/agency] must remember that ‘even when the law or the facts appear questionable or unfavorable at the outset, a party may have an entirely reasonable ground for bringing suit.’”

508 U.S. at 60 n.5 (citing and quoting *Christiansburg Garment Co. v. EEOC*, 434 U.S. 412, 421-22 (1978) (citations omitted). The Commission agrees: “Lack of success does not, by itself, indicate that the claims were frivolous. Otherwise, this factor would always weigh in favor of awarding fees to the prevailing party, an approach the Commission rejected when it issued the Final Rule.” *Bakerly* at 11 (citations omitted).

There is no showing of, or support for an assertion that, the Third-Party Complaint was frivolous within the requirements set out above. The Order of Dismissal made no such assertion, and nothing in the Petition or the Order demonstrates that the Third-Party Complaint was frivolous or without basis.

As an initial matter, it is virtually impossible to say that the Third-Party Complaint was frivolous when it was effectively invited by the Commission itself. There is no dispute that the Third-Party Complaint was substantially similar to Respondents’ original counterclaim against Samsung Electronics America, Inc. (“SEA”). Petition at 7. After the original counterclaim was dismissed by the then-Presiding Officer, the Commission affirmed the dismissal but granted leave to amend the counterclaim, saying:

“As explained above, OOCL’s counterclaim did include a brief allegation that SEA’s prior requests for refunds violated section 41102(a), which the ALJ did not address. In addition, OOCL’s brief argues that the heart of its section 41102(a) claim relates to the making and performance of the service contracts themselves, specifically through Samsung and SEA’s alleged plan to obtain lower rates by agreeing to a certain allocation of responsibility for delays, then taking a contrary

position later. In the current situation, OOCL should be given at least one chance to allege a plausible claim along these lines.”

Accordingly, the Commission concluded that “it does not appear that amendment [of the sort proposed by OOCL] would necessarily be futile.” Order Affirming Dismissal of Counterclaim at 3, 21 (FMC July 30, 2025)(Doc. No. 66). Given that the Commission found that amending the Counterclaim would not necessarily be futile and that there is no dispute that the Third-Party Complaint is substantially similar to the Counterclaim, it would be improper to find that the Third-Party Complaint was frivolous or that it lacked a reasonable basis despite ultimately proving unsuccessful. If there was sufficient potential merit in the Counterclaim to warrant leave to amend, the same degree of merit existed with respect to the Third-Party Complaint.

Moreover, although Respondents were unable to persuade the then-Presiding Officer or the Commission that there was sufficient merit to their arguments regarding the original Counterclaim to survive the motions to dismiss, those arguments were certainly not implausible. Nor would including Samsung in the proceeding be less efficient, as it is not an “unrelated party.” Appeal at 14. It is hardly frivolous to take the position that a large and sophisticated company which had revenue of over \$220 billion in 2024¹ (Samsung) and its wholly-owned U.S. subsidiary (SEA) were deliberately misleading Respondents when they were bound by a service contract on file with the Commission making them jointly and severally responsible for non-performance by SEA’s selected motor carriers, SEA paid without protest over \$12 million in charges, and then subsequently demanded a refund of those payments. Indeed, it is difficult to imagine a different, non-frivolous explanation for SEA’s conduct.

¹ See citation in Section III.E below.

OOCL amended its Counterclaim and fashioned its Third-Party Complaint to address the areas the Commission had identified as not futile, rendering them both substantially different from the original Counterclaim. Although the Presiding Officer ultimately decided to dismiss the Third-Party Complaint, there is nothing therein finding any of OOCL's arguments frivolous or objectively unreasonable. To the contrary, the Presiding Officer carefully addressed and distinguished the cases cited by Respondents, seemingly addressing the merits, rather than whether there might be a claim if appropriate facts were adduced.² This need to make purported distinctions based on the details, with which OOCL takes issue, by themselves indicate that OOCL's argument was not objectively baseless,³ but rather turned on the specific facts. As the Presiding Officer himself stated, the problem with OOCL's Complaint was a lack of evidence, specifically distinguishing *Tropical Shipping & Const. Co. v. Valley Wide Produce, Inc.* and other cases on the basis that: "The key difference between these cases and the present case, however, is that the ***only alleged evidence*** supporting OOCL's allegation that SEC and SEA induced OOCL by deception is that SEA is now challenging the fees." Order at 11 (emphasis added). Even if this were correct, which OOCL disputes, motions to dismiss must be evaluated not on "evidence," but on allegations. And even if the Presiding Officer meant only that the allegations of inducement by deception were insufficiently detailed, the proper action would not have been to dismiss, but rather to state what was missing and give OOCL an opportunity to add such allegations.

² Were OOCL, for example, to proffer on brief one or more documents showing that Samsung and SEA deliberately planned to negotiate with OOCL in a way that would induce OOCL to offer lower rates by holding out the carrot of SEA assuming of liability for charges incurred by its CNTs and expressing an intent to disavow its end of the bargain, that would seem to allow for a slam dunk victory by OOCL.

³ Although Respondents disagree with aspects of the Presiding Officer's analysis, there can be no doubt that the Presiding Officer treated the arguments as seriously made.

OOCL further notes that, even if the Presiding Officer's distinctions of other FMC precedents were correct, that would still appear to leave OOCL's arguments within the safe harbor of the right to make a "good faith argument for the ***extension***, modification, or reversal of existing law." 46 C.F.R. §502.6(a) (emphasis added).

Although the Presiding Officer's Order was less charitable in its characterization of Respondents' arguments, the Presiding Officer nonetheless expressly stated that he was not finding the arguments to be frivolous.

Nor can any indicia of frivolousness be drawn from OOCL's fiscally cautious decision not to appeal the dismissal.⁴ Respondents firmly believe that the Presiding Officer made at least two serious mistakes of fact, presumably resulting from his lack of experience with ocean transportation and the maritime industry, that undermine the decision.

First, the Order relied heavily on the similarity between the quantum of reparations sought by SEA and the amount of reparations sought by Respondents. But as a factual matter, that superficial likeness is totally meaningless happenstance. SEA's calculation was based expressly on ***detention, demurrage and other storage-related charges*** imposed by Respondents and third parties, and purportedly paid by SEA, based on the assertion that those charges were unreasonable. OOCL's calculation of reparations, by contrast, had nothing to do with detention, demurrage, or other such charges. Rather, OOCL's calculation was based on a differential in ***basic ocean freight***, the baseline rate for transportation that purely covers transportation and does not include ancillary charges (such as detention and demurrage) that may accrue before loading or after discharge. Thus, Respondents sought to recover the differential between the door-delivery ocean freight rates that

⁴ Respondents' determination not to incur significant additional costs in an appeal actually favors denial of the Petition. *Bakerly* at 16 (crediting *Bakerly* for not pressing a dismissal on appeal to the Commission).

Samsung *would have paid* had it not engaged in fraudulent inducement and the door-delivery ocean freight rates Samsung did obtain and pay as a direct result of its fraudulent inducement.

Second, as a direct result of this misunderstanding, the Presiding Officer assumed that the shipment-by-shipment analysis required by the Commission would result in a series of binary decisions – either OOCL would need to repay the charges SEA claimed it paid or OOCL would not. But that is obviously wrong, given the substantial difference between the Parties’ claims. OOCL’s claim, if successful, would mean that SEA paid an unlawfully low amount of ocean freight for each and every shipment, with only the amount of the underpayment at issue for specific shipments. Accordingly, for any specific shipment, the FMC could have awarded SEA a specific amount for the unreasonable non-ocean freight charges it paid and also awarded OOCL a separate, and likely different, amount for SEA’s fraudulent attainment of below-market rates for ocean freight.

Further, as discussed below in connection with the purposes of the Shipping Act, finding frivolousness except in exceptional cases raises concerns about chilling legitimate complaints. As the Commission explained in *Baltic Auto Shipping, Inc. v. Hitrinov*, 2017 WL 4924883 *10 (FMC 2017), “parties should be encouraged to litigate meritorious claims and defenses.” *Adenariwo v. BDP Int’l*, 34 S.R.R. 771, 773 (FMC 2017) (citing 81 *Fed. Reg.* at 10515); *See id.* at 12, stating that “a ‘chilling effect’ from the Coble Act is something the Commission seeks to avoid (citing *Edaf*). The Commission ultimately declined to award fees.

B. Respondents Did Not Engage In Litigation Misconduct

Contrary to Samsung’s allegations, Respondents have not engaged in litigation misconduct. This fact weighs heavily in favor of denying the Appeal and affirming the Presiding Officer’s Order.

The primary forms of litigation misconduct identified by the Commission are failures to follow Commission procedures or orders. *Edaf* at 9; *Bakerly* at 8. Here, there is no such misconduct. Respondents have followed all applicable Commission procedures and orders. Samsung cites no example of litigation misconduct by Respondents in its Petition or in its Appeal. The sole argument advanced by Samsung in support of this criterion is a counsel-created purported attempt by Respondents to delay the proceeding. This argument is deficient in two separate respects. First, an attempt to delay a proceeding, unless such delay takes the form of failing to follow Commission procedures or orders, is not litigation misconduct. Delay, if present, would be a factor in considering the improper motivation element of the attorney fees analysis, as demonstrated by the fact that Samsung quotes a portion of the Initial Decision relating to improper motivation in an attempt to support its claim of litigation misconduct, thereby improperly conflating these two criteria and illustrating that Samsung has no basis to support a claim of litigation misconduct.⁵

Second, and perhaps more importantly, the Third-Party Complaint did not result in any delays in this proceeding. Although Respondents did move for a stay of discovery pending a ruling on the motion to dismiss the Third-Party Complaint, that motion was denied and discovery as between Complainant Samsung Electronics America, Inc. (“SEA”) and Respondents moved forward without delay. As reflected in the December 1, 2025 Joint Status Report of the parties,

⁵ OOCL does not understand why the then-Presiding Officer took exception to OOCL pointing out that pragmatic considerations would appear to counsel in favor of deferring a decision on the merits until full briefing, rather than on a motion to dismiss. That is a commonplace judgment made both by courts and by administrative law judges. Perhaps, for example, full briefing would have caused the then-Presiding Officer to understand the difference between basic ocean freight, which is incurred upon the loading of cargo at origin and ancillary charges that are incurred, if at all, only after delivery at destination port. And perhaps OOCL would have adduced the “evidence” that the Presiding Officer found missing in this case, compared to other FMC cases that were fully litigated.

Respondents completed initial document production on time whereas SEA did not.⁶ Respondents have not engaged in any dilatory tactics, as evidenced by the numerous status reports filed in this proceeding. Rather, Respondents have suggested streamlined procedures intended to avoid unnecessary delay and/or duplication. *See* Order Granting Motion of September 18, 2025 (ALJ Sept. 22, 2025). Doc. No. 79.

Accordingly, this factor strongly supports denial of the Appeal.

C. Respondents Third-Party Complaint Was Not Improperly Motivated

There is no allegation in the Petition or Appeal that Respondents' conduct was motivated by some improper purpose, such as harassment or coercion, and thus this factor weighs against granting the Petition.

Because direct evidence of a party's motivation for filings is rare, the Commission considers circumstantial evidence of a party's motives for filing and pursuing a claim or defense. *Bakerly* at 11 (citation omitted). A party's conduct prior to asserting the claim is an example of such circumstantial evidence, and, where that prior conduct is inconsistent with the claim, such conduct is evidence that the claim was improperly motivated. *Id.* at 19. Here, there is nothing in Respondents' prior conduct that is inconsistent with the claims made in the Third-Party Complaint. There is no allegation of improper motivation and no evidence – circumstantial or otherwise – of an improper motive.

⁶ OOCL substantially supplemented these initial and timely productions after SEA produced a spreadsheet, which purportedly identified the individual shipments comprising its claim, on November 13, 2025, some forty-five days after the deadline for completion of document production. (JSR No. 99, p. 9).

The only improper motive identified in the Petition and the Appeal is the purported attempt by Respondents to delay the proceeding. As noted above, the facts do not support any contention that Respondents were attempting to delay the proceeding.⁷

Accordingly, this factor weighs against granting the Petition.

D. An Award Would Not Further The Purposes Of The Shipping Act

The purposes of the Shipping Act as set out in 46 U.S.C. §40101 are to: (1) establish a nondiscriminatory regulatory process for the common carriage of goods by water in the foreign commerce of the United States with a minimum of government intervention and regulatory costs; (2) ensure an efficient, competitive, and economical transportation system in the ocean commerce of the United States; (3) encourage the development of an economically sound and efficient liner fleet of vessels of the United States capable of meeting national security needs and supporting commerce; and (4) promote the growth and development of United States exports through a competitive and efficient system for the carriage of goods by water in the foreign commerce of the United States, and by placing a greater reliance on the marketplace. Granting the Petition would not further any of these purposes.

This case does not involve claims of discrimination, so an award would not further purpose (1). An award of attorneys' fees would have no impact on the existence or development of the U.S. liner fleet, so such an award would not further purpose (3). This case does not involve U.S. exports, so an award of attorneys' fees would not further purpose (4). Finally, it is unclear how an award would help ensure an efficient, competitive, and economical transportation system in the

⁷ If Samsung was truly concerned about delay associated with service issues, it could have agreed to accept service by the Commission, which was effected twice pursuant to 46 C.F.R. § 502.113(a), rather than insist on the Hague Convention's more cumbersome and timely procedures. It should not be permitted to rely on alleged delay, which it could have easily avoided, as a basis to obtain an award of attorneys' fees. *See also*, Point III (G), *infra*.

ocean commerce of the United States (purpose (2)), as the dismissal of the Third-Party Complaint does not address the lawfulness of the conduct of Respondents that is at issue in the proceeding. *Logfret v. Kirsha*, 2 F.M.C. 2d at 117. (“The Commission agrees with the ALJ that the “purposes of the Shipping Act are met when complainants are able to raise potential violations, even under unusual or unique circumstances, without the chilling impact of having to pay Respondents’ attorney fees.” Order Denying Pet. at 6. Consequently, this factor weighs against imposing fees.”)

Accordingly, granting the Appeal would not further any of the purposes of the Shipping Act.

E. Compensation Considerations Favor Denial of the Appeal

Compensation is a factor only in cases involving a substantial disparity in power between the parties. *Bakerly* at 28. Or, as the Commission has explained:

Compensation is a factor in certain cases. Because every prevailing party could argue it would not be made whole without an award of attorney fees, ***placing too much emphasis on compensation would violate the principle that there is no presumption in favor of awarding fees.*** In some circumstances, however, the need to compensate a prevailing party may weigh in favor of awarding attorney fees. For example, **this might be a factor where a prevailing complainant is an individual shipping household goods.**

Commission Statement at 5 (emphasis added, footnotes omitted).

Here, Samsung is not an individual shipping household goods, but rather a massive, sophisticated, international corporation that regularly engages in the transportation of vast amounts of commercial goods. Hence, any disparity in power weighs against granting the Petition in light of Samsung’s massive size and value.

According to public information, Samsung has over 129,000 employees and in 2024 had revenue in excess of \$220 billion dollars. See [https://www.globaldata.com/company-profile/samsung-electronics-co-ltd/#:~:text=Samsung%20Electronics%20Co%20Ltd%20\(Samsung,Gyeonggi%2Ddo%2C%20S](https://www.globaldata.com/company-profile/samsung-electronics-co-ltd/#:~:text=Samsung%20Electronics%20Co%20Ltd%20(Samsung,Gyeonggi%2Ddo%2C%20S)

[outh%20Korea](#). In contrast, Respondents had revenue of just under \$11 billion in 2024, approximately 1/20th the revenue of Samsung. See [https://www.freightwaves.com/news/oocl-sees-strong-2024-results-despite-ocean-shipping-challenges#:~:text=Here's%20some%20news%20about%20Orient%20Overseas%20\(International\),its%20annual%20general%20meeting%20on%20May%202015](https://www.freightwaves.com/news/oocl-sees-strong-2024-results-despite-ocean-shipping-challenges#:~:text=Here's%20some%20news%20about%20Orient%20Overseas%20(International),its%20annual%20general%20meeting%20on%20May%202015).

In fact, the Presiding Officer concluded that there was no disparity in power here. Order at 14-15. Accordingly, granting the Appeal is contraindicated.

F. No Deterrent Purpose Would Be Served By Issuance of An Award

Granting the Petition would not further any legitimate deterrent purpose.

As the Commission has emphasized, deterrence is a consideration only in very unusual circumstances:

The Commission may also award attorney fees to deter conduct, such as failing to respond in Commission proceedings or repeatedly engaging in prohibited acts. *Considerations of deterrence may also, however, weigh against awarding fees.* The “purposes of the Shipping Act are met when complainants are able to raise potential violations, even under unusual or unique circumstances, without the chilling impact of having to pay [r]espondents’ attorney fees.

Commission Statement at 5 (emphasis added, footnotes omitted). OOCL has not failed to respond and is not alleged by SEA to have engaged in multiple forms of prohibited conduct or to be involved in on-going violations of the Shipping Act.

Thus, this consideration weighs against granting the Appeal.

G. If The Appeal Is Granted, Any Award Should Be For Less Than The Full Amount Sought

Because the Presiding Officer denied the Petition, he did not reach the issue of the reasonableness of the fees sought by Samsung. If the Commission grants the Appeal (which it

should not), the fees sought by Samsung should be reduced substantially for the reasons explained below.

As an initial matter, fees associated with work on Samsung's motion to dismiss the Third-Party Complaint due to lack of service should not be awarded. In order to be eligible for an award of attorneys' fees, Samsung must be the "prevailing party." 46 U.S.C. § 41305(e). In adopting its final regulations on petitions for attorneys' fees, the Commission explained the meaning of this term as follows:

'The touchstone of the prevailing party inquiry' is 'the material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute.' *Tex. State Teachers Ass'n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792–93 (1989); *Cadkin v. Loose*, 569 F.3d 1142, 1148–49 (9th Cir. 2009) (applying the same test in a copyright case). In particular, the plaintiff in the proceeding 'must obtain at least some relief on the merits' to qualify as the prevailing party. *Farrar*, 506 U.S. at 111. An award of damages, declaratory judgment, or injunction usually satisfies this test. *Lefemine*, 133 S. Ct. at 11 (citing *Rhodes v. Stewart*, 588 U.S. 1, 4 (1988) (per curiam)).

81 *Fed. Reg.* 10508, 10512 (March 1, 2016). *See also Baltic*, 2017 WL 4924883 at *9.

Under the foregoing criteria, Samsung does not qualify as a "prevailing party" with respect to the service motion for two reasons.

First, Samsung did not prevail on its motion to dismiss for alleged insufficiency of the service of process ("Service Motion"). As the Presiding Officer there explained: "dismissal for failure to serve SEC [Samsung] is inappropriate in this case." Order of July 10, 2025 (Doc. 65), slip op. at 4-5 (Ambrow, J.). Samsung itself admits that it did not prevail: "Samsung acknowledges that its Motion to Dismiss pertaining to the Hague Convention was not granted in full – dismissal was not ordered." Petition at 6. Furthermore, as the above quote from Samsung's Petition reflects, the Service Motion did not result in a material alteration of the legal relationship between Samsung and Respondents.

Second, even if Samsung were deemed to have attained some relief based on the Service Motion, such dismissal would not have involved any relief on the merits. *Dish Network L.L.C. v. Reich*, No. 9:20-CV-80088, 2020 WL 2308318, at *2 (S.D. Fla. May 8, 2020) (citations omitted) (“Service of process is a jurisdictional requirement”).

In light of the fact that Samsung obtained no relief whatsoever from its Service Motion, on the merits or otherwise, it is not a prevailing party with respect to the Service Motion and is not entitled to an award of attorneys’ fees with respect to the Service Motion. Although the Presiding Officer deemed the issue of prevailing on the Service Motion to be a “red herring” for purposes of determining whether Samsung was a prevailing party overall, the issue is relevant to the reasonableness of any fee award.

In this regard, it should be noted that complaints are normally served by the Secretary of the Commission, not the complaining entity. 46 C.F.R. § 502.113(a). Samsung’s procedural history conveniently omits the Commissions’ two unsuccessful attempts to serve the Third-Party Complaint. *See* Doc. Nos. 28 and 35, as well Respondents’ efforts to effect service by alternative means (Doc. No. 56). More importantly, any delay in serving the Third-Party Complaint did not result in Samsung incurring additional attorneys’ fees. The invoices submitted by Samsung in support of its Petition show that between February 20, 2025 and June 6, 2025, Samsung’s counsel dedicated a grand total of 2.9 hours to this matter, most of that time consulting with counsel for Complainant Samsung Electronics America regarding status reports. *See* Exhibits B and C to Hohenstein Declaration submitted in support of the Petition.

In light of the foregoing, the invoices of Samsung’s counsel dated February 3, 2025, March 3, 2025, July 7, 2025, and August 4, 2025, totaling \$96,320.00, all of which incurred for fees

resulting from Samsung's motion to dismiss for improper service and from conferences with SEA's counsel regarding strategy, should be disallowed.

In addition, although the Commission has in the past awarded fees in connection with time spent on the preparation of a petition for an award of attorneys' fees, the time spent by counsel for Samsung on the instant Petition is excessive and fees should not be awarded for that time. According to the Declaration supporting Samsung's Petition, attorneys for Samsung spent 144 hours (James Hohenstein) and 73.5 hours (Sheryl Parkinson) working on the substance of this matter, for total fee of \$133,950. According to that same Declaration, they spent 20.2 and 15.4 hours, respectively, working on the Petition, for total fees of \$21,235.00. In other words, almost 15% of all time and fees sought by the Petition relate to the preparation of the Petition itself. The expenditure of such a significant amount of time and fees on the preparation of the Petition itself is excessive, and such fees should not be awarded.

IV. CONCLUSION

The Commission has indicated that litigants who raise non-frivolous claims in good faith, who litigate zealously but within the rules and for proper purposes, and who comply with Commissions orders, are at little risk of attorney fee liability if they are unsuccessful. *Commission Statement* at 5-6. As demonstrated above, this is precisely what Respondents have done. Accordingly, for the reasons set forth above, Samsung's Appeal should be denied in its entirety.

Respectfully Submitted,

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Dated: May 5, 2026

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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By: /s/ Wayne Rohde